T3	• Adjusting the accounts • Deferrals • Accruals • Adjusted trial balance	**Chapter 4:** First hour activity: DQ 4.1, DQ 4.4, Ex 4.5, Ex 4.6, Ex 4.12, Ex 4.14 Second hour activity: Ex 4.15 **Worksheets/templates available on Moodle site.**
T3	Completing the accounting cycle including using worksheets	**Chapter 5:** First hour activity: DQ 5.3, DQ 5.4, Ex 5.3, Ex 5.5, P 5.16 Second hour activity: Problem 5.19 **Worksheets/templates available on Moodle site.**

DQ4.1 How is profit determined under (a) the cash basis of accounting and (b) the accrual basis of accounting?

(a) Under the cash basis, profit is the excess of cash inflows from revenues over cash outflows for expenses.

(b) Under accrual accounting, profit is the excess of recognised revenues over recognised expenses.

DQ4.4. 'Why are adjusting entries necessary? Surely they cause too much delay in preparing financial statements, and the financial effect of any entries made is immaterial in the long run.' Respond to this criticism.

Under an accrual accounting system, adjusting entries are necessary in order to ensure that an entity's assets, liabilities, income (including revenues) and expenses are recorded in the appropriate accounting period. Sometimes the size of these adjusting entries may be small, and have an immaterial effect on the entity's profits and financial position; but on many occasions, particularly with adjusting entries for items such as depreciation, the size and effect of the adjusting entries may be significant. The volume of work for adjusting entries at the end of the reporting period can be minimised, in that the accounts and the amount of certain adjusting entries are known prior to the end of the reporting period, e.g. for depreciation, for prepayments. While these adjusting entries must be recorded at the end of the reporting period, details to make these adjustments can be worked out prior to the end of the reporting period. Computerisation of the adjusting entries in the accounting system can also reduce the lead-time in preparing financial statements.

Exercise 4.5

Journalising adjusting entries

Dawn Drain has employed you to investigate whether any accrual entries are needed in her gutter cleaning business. On completion of your investigation on 30 June, you have discovered that the following items need attention.

1. Unearned cleaning services revenue now earned, $5200
2. Depreciation not recorded, $13 000
3. Employee salaries owed but not recorded, $2500
4. Prepaid insurance expired, $600
5. Interest revenue accrued but not recorded, $310

Required

(a) Prepare the adjusting entries for items 1 to 5 at 30 June, the end of the accounting period.
(b) Suppose the adjusting entries in requirement (a) were not made. Calculate the total overstatement or understatement of profit as a result of the omission of these adjustments.

(LO3)

(a)

DAWN DRAIN'S GUTTER CLEANING
General Journal

Date	Particulars	Debit	Credit
30 June			
1.	Unearned Cleaning Services Revenue	5 200	
	Cleaning Services Revenue		5 200
	Precollected revenue now earned.		
2.	Depreciation Expense	13 000	
	Accumulated Depreciation		13 000
	Depreciation expense for the period.		
3.	Salary Expense	2 500	
	Salaries Payable		2 500
	Salaries incurred but not yet paid.		
4.	Insurance Expense	600	
	Prepaid Insurance		600
	Prepaid insurance expired.		
5.	Interest Receivable	310	
	Interest Revenue		310
	Interest revenue accrued.		

(b)
Profit would have been:

- overstated by $16 100 as a result of expenses not being recorded ($13 000 + $2 500 + $600 = $16 100) and
- understated by $5 510 as a result of total revenues not being recorded ($5 200 + $310 = $5 510).

The net overstatement of profit is therefore $10 590 ($16 100 – $5 510 = $10 590).

Exercise 4.6

Adjusting entries and income statement

The income statement of Petra's Pest Control for the month of August 2024 shows a profit of $6800 based on:

Services revenue	$15 200
Wages expense	6 400
Supplies expense	1 100
Electricity expense	900

In reviewing the statement, you discover the following:

1. **Depreciation on equipment of $460 was omitted.**
2. **Supplies expense includes $320 of supplies that are still on hand at 31 August.**
3. **Insurance expired during August of $400 was omitted.**
4. **Accrued wages at 31 August amounting to $260 were not included.**
5. **Services provided but unrecorded totalled $1600.**

Required

(a) Prepare a corrected income statement for the month of August 2024. (LO3 and LO4)

(a)

PETRA'S PEST CONTROL Income Statement for the month of August 2024		
INCOME		
Services revenue		$16 800
EXPENSES		
Depreciation expense	$ 460	
Wages expense	6 660	
Supplies expense	780	
Insurance expense	400	
Electricity expense	900	
Total expenses		9200
PROFIT		7600

Exercise 4.12

Adjusting entries

Selected accounts of Arabella's Art Supplies are shown below at 30 June of the current year before any adjusting entries have been made.

	Debit	Credit
Prepaid Insurance	$ 4 500	
Supplies	720	
Shop Shelving	24 000	
Unearned Rental Fees		$ 4 800
Salaries Expense	32 600	
Rental Fees Revenue		13 200

Additional information

1. **Prepaid insurance represents premiums for 1 year paid on 1 April.**
2. **Supplies of $430 were on hand at 30 June.**
3. **Shop shelving, which had been purchased on 1 January, is expected to last 10 years and have a residual value of $2000.**
4. **Amanda collected 4 months' rent in advance on 1 June from a number of tenants.**
5. **Accrued salaries not recorded as at 30 June are $2400.**

Required

(a) Record in the general journal the necessary adjusting entries on 30 June. (LO3)

(a)

ARABELLA'S ART SUPPLIES
General Journal

Date	Particulars	Debit	Credit
June 30	Insurance Expense	1 125	
	Prepaid Insurance		1 125
	Insurance expired. ($4500 × 3/12)		
	Supplies Expense	290	
	Supplies		290
	Supplies used. ($720 – $430)		
	Depreciation Expense – Shop Shelving	1 100	
	Accumulated Depreciation – Shop Shelving		1 100
	Depreciation on office equipment. ($24 000 – $2000)/10 × 6/12 = $1100)		
	Unearned Rental Fees	1 200	
	Rental Fees Revenue		1 200
	Rental fees earned for one month. ($4800 ÷ 4)		
	Salaries Expense	2 400	
	Salaries Payable		2 400
	Accrued salaries.		

Exercise 4.15

Adjusting entries and effect on financial statements

In the first column of the schedule presented below are the condensed financial statements for Melvin Motorvehicle Rentals before adjusting entries were made. The following items were not reflected in the statements.

1. **Rental revenue earned but not collected or recorded, $1500.**
2. **Depreciation on vehicles not recorded, $14 500.**
3. **Wages earned by employees but not paid at year-end, $5600.**
4. **The company requires the first-day rental in advance as a deposit for making a reservation. The deposit is either deducted from the total rental charges or is forfeited. During the last week of June, deposits earned were not recorded as revenue, $990.**

MELVIN MOTORVEHICLE RENTALS
Financial Statements

	Unadjusted balances	Adjustment	Adjusted balances
Income statement			
Rental revenue	$255 600		
Expenses:			
Depreciation expense	—		
Insurance expense	46 800		
Wages expense	140 000		
General expenses	24 000		
Profit	$ 44 800		
Statement of changes in equity			
Beginning capital	90 000		
Add: Profit	44 800		
Less: Drawings	(72 000)		
Ending capital	$ 62 800		
Balance sheet			
Cash at bank	46 800		
Accounts receivable	—		
Other receivables	10 800		
Vehicles	124 000		
Less: Accumulated depreciation	(38 000)		
	$143 600		
Wages payable	—		
Unearned rental revenue	7 200		
Loan payable	73 600		
Melvin Maserati, Capital	62 800		
	$143 600		

Required

(a) Prepare the necessary adjusting entries in general journal form.

(b) Determine the effects of the adjustments on the financial statements by completing the schedule presented.

(c) i. Did profit increase or decrease? By how much?
ii. What was the effect of the adjusting entries on total assets? total liabilities? total equity?

(LO3 and LO4)

(a)

MELVIN MOTORVEHICLE RENTALS
General Journal

	Particulars	Debit	Credit
1.	Accounts Receivable	1 500	
	Rental Revenue		1 500
	Rent revenue earned		
2.	Depreciation Expense – Vehicles	14 500	
	Accum. Depreciation – Vehicles		14 500
	Depreciation on vehicles		
3.	Wages Expense	5 600	
	Wages Payable		5 600
	Wages owing to employees		
4.	Unearned Rental Revenue	990	
	Rental Revenue		990
	Rent deposits in advance earned		

(b)

MELVIN MOTORVEHICLE RENTALS
Financial Statements

	Unadjusted balances	Adjustments	Adjusted balances
Income statement			
Rental revenue	$255 600	+ 1 500	
		+ 990	$258 090
Expenses:			
Depreciation expense	—	+ 14 500	14 500
Insurance expense	46 800		46 800
Wages expense	140 000	+ 5 600	145 600
General expenses	24 000		24 000
Profit	$44 800		$27 190
Statement of changes in equity			
Beginning capital	$90 000		$90 000
Add: Profit	44 800		27 190
Less: Drawings	(72 000)		(72 000)
Ending capital	$62 800		$45 190
Balance sheet/Statement of financial position			
Cash at bank	$46 800		$46 800
Accounts receivable	—	+ 1 500	1 500
Other receivables	10 800		10 800
Vehicles	124 000		124 000
Less: Accum. depreciation	(38 000)	+ 14 500	(52 500)
	$143 600		$130 600
Wages payable	—	+ 5 600	5 600
Unearned rental revenue	7 200	– 990	6 210
Loan payable	73 600		73 600
Melvin Mazarati, Capital	62 800		45 190
	$143 600		$130 600

(c) i. Profit decreased by $17 610 ($44 800 – $27 190).
ii. Total assets decreased by $13 000 ($143 600 – $130 600).
Total liabilities increased by $4610 ($85 410 – $80 800).
Total equity decreased by $17 610 ($62 800 – $45 190).

CHAPTER 5

DQ 5.1 For a sole trader, which accounts generally are involved in closing entries? Why are these accounts closed?

The accounts involved in the closing process are:
- all revenue accounts
- all expense accounts
- the profit or loss summary account
- the owner's Drawings account
- the owner's Capital account, a permanent equity account.

All revenue and expense accounts, which are temporary accounts set up each period in order to calculate the entity's profit, are closed through closing entries to the profit or loss summary account. The balance of the profit or loss summary account then represents the profit or loss for the accounting period. This profit or loss is transferred, though closing entries, to the owner's capital account, which is a permanent equity account reported on the balance sheet/statement of financial position.

The owner's Drawings account is also a temporary account established to record how much assets the owner has withdrawn from the entity during the period. This account is also closed off to the capital account at the end of the period.

DQ 5.4 So far, we have heard of the existence of three trial balances – the unadjusted trial balance, the adjusted trial balance and the post-closing trial balance. Explain the purpose of each, and indicate the types of account balances that are contained in each.

The unadjusted trial balance is prepared periodically to provide a preliminary check on the accuracy of the posting process (debits and credits) from the journals to the ledger accounts. This trial balance contains the balances of all general ledger accounts as at the date on which the trial balance is prepared.

The adjusted trial balance is prepared only at the end of the accounting period and includes the balances of all general ledger accounts after the adjusting entries have been posted to the accounts. It provides a preliminary check of the accuracy of posting all adjusting entries.

The post-closing trial balance is prepared at the end of the accounting period after all closing entries have been posted to the accounts and the account balances determined. Since all temporary accounts are closed as a result of closing entries, the post-closing trial balance contains the balances of all permanent accounts only. Hence, the only types of accounts appearing in this trial balance are the assets, the liabilities, and permanent equity accounts such as the capital accounts, or, in the case of a company, the share capital, reserve, and retained earnings accounts.

Exercise 5.3

Completion of worksheet, preparation of financial statements and closing entries

The following unadjusted trial balance was taken from the ledger of Heather's H.R. Services on 30 June 2025.

Account	Debit	Credit
Cash at bank	$ 80 000	
Accounts receivable	74000	
Prepaid insurance	24000	
Equipment	230000	
Accumulated depreciation — equipment		$ 60 000
Accounts payable		64000
Heather Harris, capital		204000
Heather Harris, drawings	50000	
Service revenue		340000
Wages expense	130000	
Electricity expense	54000	
Sundry expense	26000	
	$668000	$668 000

Required

(a) Prepare a 10-column worksheet using the following additional information on 30 June 2025.

- **i. Accrued wages, $18 000.**
- **ii. Expired insurance, $16 000.**
- **iii. Depreciation on equipment, $60 000.**

(b) Prepare an income statement, a statement of changes in equity and a balance sheet.

(c) Record the adjusting and closing entries in the general journal.

(LO3 and LO4)

(a)

HEATHER'S H.R. SERVICES
Worksheet
for the year ended 30 June 2025
($'000)

Account title	Unadjusted trial balance		Adjustments		Adjusted trial balance		Income statement		Balance sheet	
	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit
Cash at Bank	80				80				80	
Accounts Receivable	74				74				74	
Prepaid Insurance	24			(2) 16	8				8	
Equipment	230				230				230	
Accum. Depr. Equipment		60		(3) 60		120				120
Accounts Payable		64				64				64
Heather Harris, Capital		204				204				204
Heather Harris, Drawings	50				50				50	
Service Revenue		340				340		340		
Wages Expense	130		(1) 18		148		148			
Electricity Expense	54				54		54			
Sundry Expense	26				26		26			
	668	668								
Wages Payable				(1) 18		18				18
Insurance Expense			(2) 16		16		16			
Depr. Expense – Equipment			(3) 60		60		60			
			94	94	746	746	304	340	442	406
Profit for the period							36			36
							340	340	442	442

(b)

HEATHER'S H.R. SERVICES Income Statement for the year ended 30 June 2025		
INCOME	($'000)	($'000)
Service revenue		$340
EXPENSES		
Wages expense	$148	
Depreciation expense	60	
Insurance expense	16	
Electricity expense	54	
Sundry expense	26	304
PROFIT		$36

HEATHER'S H.R. SERVICES Statement of Changes in Equity for the year ended 30 June 2025	
	($'000)
Heather Harris, Capital – 1 July 2024	$204
Profit for the year	36
	$240
Drawings during the year	(50)
Heather Harris, Capital – 30 June 2025	$190

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HEATHER'S H.R. SERVICES **Balance Sheet** **as at 30 June 2025**		
CURRENT ASSETS	($'000)	($'000)
Cash at bank	$80	
Accounts receivable	74	
Prepaid insurance	8	162
NON-CURRENT ASSETS		
Equipment	230	
Less: Accum. depreciation	(120)	110
TOTAL ASSETS		$272
CURRENT LIABILITIES		
Accounts payable	64	
Wages payable	18	82
TOTAL LIABILITIES		82
NET ASSETS		$190
EQUITY		
Heather Harris, Capital		190
TOTAL EQUITY		$190

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(c)

Adjusting entries

	($'000)	($'000)
Wages Expense	18	
Wages Payable		18
Accrued wages.		
Insurance Expense	16	
Prepaid Insurance		16
Insurance costs expired.		
Depreciation Expense – Equipment	60	
Accumulated Depreciation – Equipment		60
Depreciation on equipment.		
Closing entries		
Service Revenue	340	
Profit or Loss Summary		340
Close income accounts.		
Profit or Loss Summary	304	
Wages Expense		148
Electricity Expense		54
Sundry Expense		26
Insurance Expense		16
Depreciation Expense – Equipment		60
Close expense accounts.		
Profit or Loss Summary	36	
Heather Harris, Capital		36
Transfer loss to capital account.		
Heather Harris, Capital	50	
Heather Harris, Drawings		50
Transfer drawings to capital.		

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Exercise 5.5

Closing entries and post-closing trial balance

Fred Thomas founded Fred's Fishing Supplies on 1 July 2025. The adjusted trial balance at 30 June 2026 (the end of the financial year) is shown below.

BEN'S BUILDING BUILDERS
Adjusted trial balance
as at 30 June 2026

Account	Debit	Credit
Cash at bank	$52 430	
Accounts receivable	64 760	
Building supplies	15 420	
Prepaid insurance	7 710	
Utility Vehicle	92 520	
Accumulated depreciation — Utility Vehicle		$46 260
Accounts payable		15 420
Salaries payable		5 240
Interest payable		8 020
Mortgage payable		20 050
Unearned revenue		17 270
B. Johns, capital		46 250
B. Johns, drawings	37 010	
Sales		180 110
Salaries expense	36 080	
Insurance expense	2 780	
Interest expense	1 540	
Depreciation expense	10 790	
Building supplies expense	5 240	
Rent expense	12 340	
	$338 620	$338 620

Required
(a) Prepare closing entries to be made on 30 June 2026.
(b) Prepare a post-closing trial balance as at 30 June 2026.
(LO4)

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(a)

General journal
Closing entries

	Particulars	Debit	Credit
2026			
June 30	Sales	$180 110	
	Profit or Loss Summary		$180 110
	Close income accounts to Profit or Loss Summary		
	Profit or Loss Summary	68 770	
	Salaries Expense		36 080
	Insurance Expense		2 780
	Interest Expense		1 540
	Depreciation Expense		10 790
	Building Supplies Expense		5 240
	Rent Expense		12 340
	Close expense accounts to Profit or Loss Summary		
	Profit or Loss Summary	111 340	
	B. Johns, Capital		111 340
	Close Profit or Loss Summary to Capital		
	B. Johns, Capital	37 010	
	B. Johns, Drawings		37 010
	Close Drawings to Capital		

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(b)

BEN JOHNS BUILDING BUILDERS Post Closing Trial Balance as at 30 June 2026		
Account	**Dr**	**Cr**
Cash at bank	$52 430	
Accounts receivable	64 760	
Building supplies	15 420	
Prepaid insurance	7 710	
Utility Vehicle	92 520	
Accumulated depreciation – Utility Vehicle		$46 260
Accounts payable		15 420
Salaries payable		5 240
Interest payable		8 020
Mortgage payable		20 050
Unearned revenue		17 270
B. Johns, Capital*		120 580
	$232 840	$232 840

*: Capital closing balance = Capital opening balance $46 250 + Profit $111 340 – Drawings $37 010 = $46 920

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Problem 5.19

Worksheet, financial statements and closing entries

Non-GST version

The ledger of Chester Franks, Financial Consultant, contains the following account balances on 30 June 2026.

Account	Debit	Credit
Cash at bank	$ 5 200	
Accounts receivable	8418	
Office supplies	1140	
Land	60000	
Building	152000	
Accumulated depreciation — building		$ 64000
Office equipment	23400	
Accumulated depreciation — office equipment		6420
Accounts payable		7236
Unearned consulting fees		2000
Mortgage payable		88600
C. Franks, capital		72012
C. Franks, drawings	52780	
Consulting fees revenue		156860
Insurance expense	1660	
Salaries expense	87940	
Electricity expense	760	
Interest expense	2090	
Telecommunications expense	1740	
	$397128	$397128

The following additional account titles are included in the chart of accounts.

- **Prepaid Insurance**
- **Telecommunications Expense Payable**
- **Office Supplies Expense**
- **Depreciation Expense – Buildings**
- **Depreciation Expense – Office Equipment**
- **Interest Payable**
- **Salaries Payable**

The following information is also available.

1. **A physical count of office supplies reveals that supplies totalling $420 are on hand at 30 June.**
2. **The balance in the Unearned Consulting Fees account includes $1200 earned for services rendered in the last week of June.**
3. **Estimated depreciation on the office equipment is $2140. Depreciation on the building**

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is $8760.

4. **A 12-month insurance policy was purchased on 1 April for $780.**
5. **The June monthly mortgage payment of $900 has not been paid or recorded. In each payment, $220 is attributable to interest.**
6. **The June telecommunications costs for $320 are unrecorded. No tax invoice has been received.**
7. **Salaries of $980 were owing to employees at 30 June 2026.**

Required

(a) Prepare a 10-column worksheet for the year ended 30 June 2026.

(b) Prepare the income statement, balance sheet and statement of changes in equity.

(c) Journalise the closing entries.

(LO1, LO3 and LO4)

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(a)

CHESTER FRANKS, FINANCIAL CONSULTANT
Worksheet
for the year ended 30 June 2026

	Unadjusted trial balance		Adjustments		Adjusted trial balance		Income statement		Balance sheet	
Account title	**Debit**	**Credit**	**Debit**	**Credit**	**Debit**	**Credit**	**Debit**	**Credit**	**Debit**	**Credit**
Cash at Bank	5 200				5 200				5 200	
Accounts Receivable	9 260				9 260				9 260	
Office Supplies	1 140			(1) 720	420				420	
Land	60 000				60 000				60 000	
Building	152 000				152 000				152 000	
Acc. Depr. Building		64 000		(3) 8 760		72 760				72 760
Office Equipment	23 400				23 400				23 400	
Acc. Depr. Office Equip.		6 420		(3) 2 140		8 560				8 560
Accounts Payable		7 960				7 960				7 960
Unearned Consulting Fees		2 000	(2) 1 200			800				800
Mortgage Payable		88 600				88 600				88 600
C. Franks, Capital		72 130				72 130				72 130
C. Franks, Drawings	52 780				52 780				52 780	
Consulting Fees Revenue		156 860		(2) 1 200		158 060		158 060		
Insurance Expense	1 660			(4) 585	1075		1075			
Salaries Expense	87 940		(7) 980		88 920		88 920			
Electricity Expense	760				760		760			
Interest Expense	2 090		(5) 220		2 310		2 310			
Telecommunications Expense	1 740		(6) 320		2 060		2 060			
	$397 970	$397 970								
Office Supplies Expense			(1) 720		720		720			
Depr. Exp. Building			(3) 8 760		8 760		8 760			
Depr. Exp. – Office Equip.			(3) 2 140		2 140		2 140			
Prepaid Insurance			(4) 585		585				585	
Interest Payable				(5) 220		220				220
Telecomm. Expense Payable				(6) 320		320				320
Salaries Payable				(7) 980		980				980
			14925	14 925	410 390	410 390	106 745	158 060	303 645	252 330
Profit for the year							51 315			51 315
							158 060	158 060	303 645	303 645

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(b)

CHESTER FRANKS, FINANCIAL CONSULTANT Income Statement for the year ended 30 June 2026		
INCOME		
Consulting fees revenue		$158 060
EXPENSES		
Office supplies expense	$720	
Depreciation expense – building	8 760	
Depreciation expense – office equipment	2 140	
Insurance expense	1075	
Salaries expense	88 920	
Electricity expense	760	
Interest expense	2 310	
Telecommunications expense	2 060	
Total Expenses		106 745
PROFIT		$51 315

CHESTER FRANKS, FINANCIAL CONSULTANT Statement of Changes in Equity for the year ended 30 June 2026	
C. Franks, Capital – 1 July 2025	$72 130
Profit for the year	51 315
	$123 445
Drawings during the year	(52 780)
C. Franks Capital – 30 June 2026	$70 665

CHESTER FRANKS, FINANCIAL CONSULTANT Balance Sheet as at 30 June 2026			
CURRENT ASSETS			
Cash at bank		$5 200	
Accounts receivable		9 260	
Prepaid insurance		585	
Office supplies		420	$15465
NON-CURRENT ASSETS			
Land		60 000	
Building	$152 000		
Less: Accum. depr. – building	(72 760)	79 240	
Office equipment	23 400		
Less: Accum. depr. office equip.	(8 560)	14 840	154 080
TOTAL ASSETS			$169 545
CURRENT LIABILITIES			
Accounts payable		7 960	
Unearned consulting fees		800	
Interest payable		220	
Telecommunications expense payable		320	
Salaries payable		980	
Current portion of mortgage payable*		8 840	19 120
NON-CURRENT LIABILITIES			
Mortgage payable			79 760
TOTAL LIABILITIES			98 880
NET ASSETS			70 665
EQUITY			
C. Franks, Capital			$70 665
TOTAL EQUITY			$70 665

* Current portion of mortgage payable = 13 months × ($900 – $220) per month.

(c)

General journal
Closing entries

Consulting Fees Revenue	158 060	
Profit or Loss Summary		158 060
Close revenue accounts		
Profit or Loss Summary		
	106 745	
Office Supplies Expense		720
Depreciation Expense – Building		8 760
Depreciation Expense – Office		2 140
Equipment		
Insurance Expense		1075
Salaries Expense		88 920
Electricity Expense		760
Interest Expense		2 310
Telecommunications Expense		2 060
Close expense accounts		
Profit or Loss Summary	51 315	
C. Franks, Capital		51 315
Transfer profit to capital		
C. Franks, Capital	52 780	
C. Franks, Drawings		52 780
Close drawings to capital		